

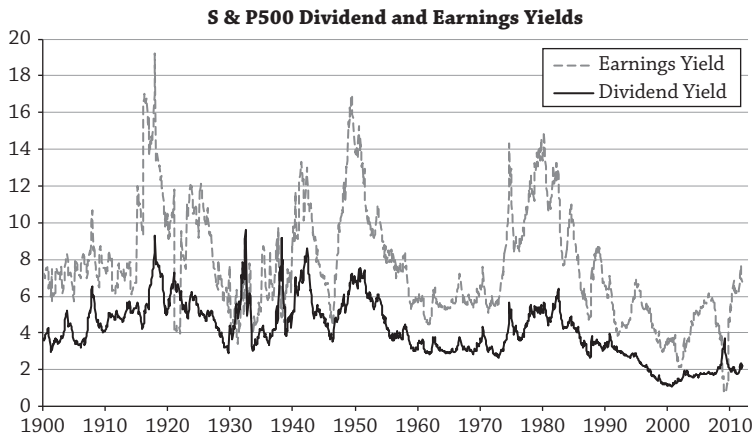


Figure 8.6

It seems obvious that dividend yields move over time. Figure 8.6 plots dividend yields and earnings yields of the S&P 500 from January 1900 to December 2011. Both series move in tandem, with the correlation being 73%. Since price appears in the denominator of dividend yields and earnings yields, the yield measures tend to be high when the equity market is in the doldrums, like during the Great Depression, the early 1950s, the late 1970s and early 1980s, and 2001. In 2008 when equities fell during the financial crisis, dividend yields were very low. But, during this period earnings yields moved in the opposite direction because earnings contracted a lot, but dividend payouts were sticky.

“What drives dividend yield variation?” turns out to be the same question as “what predicts returns?” Suppose cash flows are unpredictable, or i.i.d.. Then in equation (8.4), expected returns are predictable by the dividend yield: when dividend yields are high or prices are low, future expected returns are high. Equation (8.5) says that all dividend yield movements are driven by discount rate variation. Now suppose everything comes from cash flows and discount rates are constant. Equation (8.4) says that expected returns would change over time if we can forecast the future cash flows of companies, and equation (8.5) says that all variation in dividend yields comes from changing cash flows.

Do dividend yields move around because discount rates move, cash flows move, or both? Academic opinion is divided. John Cochrane, in his presidential address to the American Finance Association in 2011, gave a one-sided view and stated that all variation of dividend yields comes from expected returns, not cash flows. This used to be the prevailing opinion in finance due to Campbell (1991) and Cochrane (1992), even though contemporaneous dissenters argued that returns were not predictable (e.g., Goetzmann and Jorion in 1993). The Campbell–Cochrane view is that dividends are i.i.d. and dividend yields predict expected returns, not future cash flows. In the Bansal and Yaron (2004) framework